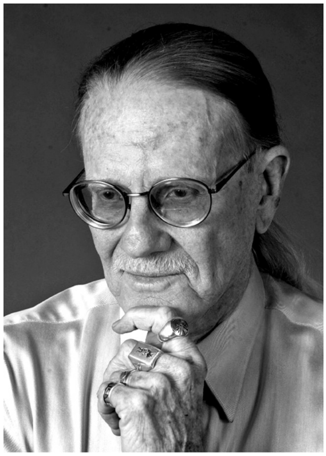

FIGURE 1.5 Vernon L. Smith, Prize winner in Economic Sciences 2002.

that Smith was able to model in advance. Smith's work has been instrumental in establishing experiments as an essential tool in empirical economic analysis.

Behavioral Finance Micro versus Behavioral Finance Macro

As we have observed, behavioral finance models and interprets phenomena ranging from individual investor conduct to market-level outcomes. Therefore, it is a difficult subject to define. For practitioners and investors reading this book, this is a major problem, because our goal is to develop a common vocabulary so that we can apply to our benefit the very valuable body of behavioral finance knowledge. For purposes of this book, we adopt an approach favored by traditional economics textbooks; we break our topic down into two subtopics: behavioral finance micro and behavioral finance macro.

1. Behavioral finance micro (BFMI) examines *behaviors or biases of individual investors* that distinguish them from the rational actors envisioned in classical economic theory.
2. Behavioral finance macro (BFMA) detects and describe *anomalies* in the efficient market hypothesis that behavioral models may explain.